RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 1991 and 1990

GITTLESON & ASSOCIATES

CERTIFIED PUBLIC ACCOUNTANTS

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GITTLESON & ASSOCIATES
CERTIFIED PUBLIC ACCOUNTANTS
1234 WEST BROADWAY
HEWLETT, N.Y. 11557
516 295-1525

The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 1991 and 1990 and the related statements of operations for the years then ended, and the related statements of cash flow for the years ended December 31, 1991 and 1990. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 1991 and 1990 and the results of its operations and its cash flows for the years then ended in conformity with generally accepted accounting principles.

Jeff Gittleson CPA

Hewlett, New York
January 24, 1992

RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 1991 and 1990

ASSETS

	1991	1990
Current assets:		
Cash- operating (Note 5)	$ 13,752	50,073
money market	80,950	98,444
investors choice	5,881	50,802
treasury bills	199,465	184,208
Accounts receivable	10,935	17,926
Prepaid expenses	4,876	6,341
Prepaid real estate taxes (Note 6)	33,656	34,072
Total current assets	349,515	441,866
Land	200,000	200,000
Building and building improvements	11,043,951	10,988,147
Equipment	55,012	55,012
Accumulated depreciation	(2,236,830)	(1,973,256)
	9,062,133	9,269,903
Mortgage acquisition costs, net	73,459	80,337
Total fixed assets	9,135,592	9,350,240
Total assets	$ 9,485,107	$ 9,792,106

LIABILITIES AND SHAREHOLDERS EQUITY

Current liabilities:		
Accounts payable & accrued expenses; (Note 5)	35,010	104,567
Interest payable	35,600	35,600
Total current liabilities	70,610	140,167
Long-term debt (Note 3)	4,000,000	4,000,000
Shareholders equity:		
Common stock- 90,000 shares authorized; 85,027 shares issued and outstanding	85,027	85,027
Additional paid in capital	6,846,550	6,846,550
Retained earnings (deficit)	(1,517,080)	(1,279,638)
	5,414,497	5,651,939
Total liabilities and shareholders equity	$ 9,485,017	$ 9,792,106

The accompanying notes should be read with this financial statement.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENT OF OPERATIONS
For the years ended December 31, 1991 and 1990

	1991	1990
Operating income:		
Maintenance charges	$1,020,324	$1,020,324
Parking income	84,893	87,315
Laundry income	15,000	15,025
Total operating income	$1,120,217	$1,122,664
Operating expenses:		
Mortgage interest and points	433,000	433,000
Real estate taxes	273,827	265,982
Heating fuel	42,490	58,581
Utilities (gas,electric & telephone)	45,643	45,981
Contractual Services:		
Security	35,843	36,400
Boiler maintenance	2,057	11,312
Landscaping	6,340	7,400
Other	15,184	14,349
Supplies	17,370	18,764
Operating repairs and maintenance	29,632	20,668
Pool supplies	15,168	10,267
Payroll and benefits	111,036	110,540
Management fees	27,000	25,250
General administrative costs	4,712	8,303
Professional fees	10,206	4,350
Insurance	22,208	18,834
Miscellaneous	13,251	6,299
Water & sewer taxes	9,996	9,624
Total operating expenses	1,114,963	1,105,904
Income (loss) from operations	$ 5,254	$ 16,760

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENT OF OPERATIONS (continued)
For the years ended December 31, 1991 and 1990

	1991	1990
Other income:		
Exit fees	$ 10,189	$ 8,750
Interest	17,121	32,403
Miscellaneous- late charge & other	3,284	11,836
Total other income	30,594	52,989
Income (loss) before depreciation and income taxes	35,848	69,749
Depreciation and amortization	264,652	259,024
Provision for income taxes (Note 6)	8,638	6,179
Net income	$(237,442)	$(195,454)

The accompanying notes should be read with this financial statement.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the year ended December 31, 1991 and 1990
Increase (Decrease) in cash and cash equivalents

Cash flows from operating activities:	1991	1990
Net loss	$(237,442)	$(195,454)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	263,574	257,946
Amortization of mortgage acquisition costs	1,078	1,078
Change in assets and liabilities:		
Decrease/(Increase) in accounts receivable	6,991	(8,260)
Decrease/(Increase) in prepaid expenses	1,465	4,456
Decrease/(Increase) in prepaid real estate taxes	416	(2,119)
Increase/(decrease) in payables and accrued expenses	(69,557)	72,360
Total adjustments	203,967	316,549
Net cash provided by operating activities	(33,475)	121,095
Cash flows from investing activities:		
Payment for capital improvements	(55,804)	(201,955)
Decrease in mortgage acquisition costs	5,800	5,800
(Decrease) in accrued construction payable	-0-	(40,280)
Net cash used by investing activities	(50,004)	(236,435)
Net decrease in cash and cash equivalents	(83,479)	(115,340)
Cash and cash equivalents at beginning of yr.	383,527	498,867
Cash and cash equivalents at end of year	$300,048	$383,527
Supplemental information:		
Interest expense	433,000	433,000
Income taxes	8,638	6,179

The accompanying notes should be read with this financial statement.

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS EQUITY
December 31, 1991

	COMMON STOCK	PAID-IN-CAPITAL	RETAINED EARNINGS
Beginning balance- 1/1/90	$ 85,027	6,846,550	(1,084,184)
Net loss (1990)	-0-	-0-	(195,454)
Balance- December 31, 1990	$ 85,027	$6,846,550	$(1,279,638)
Net loss (1991)	-0-	-0-	(237,442)
Balance- December 31, 1991	$ 85,027	$6,846,550	$(1,517,080)

The accompanying notes should be read with this financial statement.

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 1991
Compiled

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of exiting assets are capitalized and maintenance and repairs are expensed as incurred.

Note 3: LONG-TERM DEBT:

The Cooperative Corporation has a mortgage with Meritor Mortgage Corporation. The mortgage requires monthly payments of $35,600, interest only at 10.68% per annum. At January 1, 1998, the maturity date, the full principal of $4,000,000 is to be paid.

Note 4: INCOME TAXES:

Represents the Federal income tax on interest income under Internal Revenue Service Code Section 216 and the New York State franchise tax on capital.

NOTE 5: CASH/ACCOUNTS PAYAABLE & ACCRUED LIABILITIES:

During 1990, $43,792 was erroneously deposited into Riveredge Owners, Inc. cash accounts. As of December 31, 1990, such amounts had been set up as payables and were reimbursed in 1991.

NOTE 6: 1990 figures include $1,186 of taxes paid from 1987 New York State audit of corporate franchise taxes.

NOTE 7: COMMITMENTS: The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$11,312 for 1990. A contract was entered into for 1991 and 1992 in the amount of $2,854 per year.
Elevator maintenance	1991: $651 per month
Garage Door Opener	$96 per month
Superintendent and Porters	Per union agreement, dated September 15, 1988, the current salary is $460 per week for the Superintendent and $428 per week for the Porters. The agreement expires September 15, 1991.
Towing	$108 per month
Landscaping	1991: $525 per month for April-November
Management	The managing agent is William B. May Company, Inc. The management fee is $2,250 per month effective August 1, 1990.

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 1992 and 1991

GITTLESON AND ASSOCIATES
CERTIFIED PUBLIC ACCOUNTANTS

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GITTLESON & ASSOCIATES
CERTIFIED PUBLIC ACCOUNTANTS
1234 WEST BROADWAY
HEWLETT, N.Y. 11557
516 295-1525

The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 1992 and 1991 and the related statements of operations for the years then ended, and the related statements of cash flow for the years ended December 31, 1992 and 1991. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

Except as discussed in the following paragraph, we conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

Riveredge Owners, Inc. has not estimated the remaining lives and replacement costs of the building and improvements necessary and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, except for the omission of the presentation of the estimates of future costs of major repairs and replacements as discussed in the above paragraph, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 1992 and 1991 and the results of its operations and its cash flows for the years then ended in conformity with generally accepted accounting principles.

Jeff Gittleson CPA

Hewlett, New York
February 10, 1993

RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 1992 and 1991

		1992	1991
	ASSETS		
Current assets:			
	Cash:		
	operating	($15,053)	$13,752
	money market	25,981	80,950
	investors choice	10,122	5,881
	treasury bills	159,737	199,465
	Accounts receivable	6,126	10,935
	Prepaid expenses	4,871	4,876
	Prepaid real estate taxes	110,473	33,656
	Total current assets	302,257	349,515
Fixed assets:			
	Land	200,000	200,000
	Building and building improvements	11,107,155	11,098,963
		11,307,155	11,298,963
	Less:accumulated depreciation	2,503,093	2,236,830
	Net fixed assets	8,804,062	9,062,133
Other assets:			
	Mortgage acquisition cost, net	66,581	73,459
Total assets		$9,172,900	$9,485,107
	LIABILITIES AND STOCKHOLDERS' EQUITY		
Current liabilities:			
	Accounts payable and accrued expenses	$18,206	$35,010
	Accrued mortgage interest payable	35,600	35,600
	Total current liabilities	53,806	70,610
Long–term liabilities:			
	Mortgage payable	4,000,000	4,000,000
Stockholders' equity:			
	Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
	Additional paid in capital	6,846,550	6,846,550
	Retained earnings (deficit)	(1,812,483)	(1,517,080)
	Total stockholders' equity	5,119,094	5,414,497
Total liabilities and stockholders' equity		$9,172,900	$9,485,107

See accompanying notes to financial statments.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 1992 and 1991

	1992	1991
Operating income:		
Maintenance charges	$1,020,324	$1,020,324
Parking income	85,403	84,893
Laundry income	15,000	15,000
	1,120,727	1,120,217
Operating expenses:		
Mortgage interest and points	433,000	433,000
Real estate taxes	277,303	273,827
Heating fuel	48,032	42,490
Utilities (gas, electric, and telephone)	42,713	45,643
Contractual services		
Security	31,908	35,843
Boiler maintenance	3,515	2,057
Landscaping	4,628	6,340
Other	15,746	15,184
Supplies	23,947	17,370
Operating repairs and maintenance	51,289	29,632
Pool supplies	13,934	15,168
Payroll and benefits	125,652	111,036
Management fees	27,000	27,000
General administrative costs	5,595	4,712
Professional fees	8,521	10,206
Insurance	23,521	22,208
Miscellaneous	11,618	13,251
Water and sewer taxes	8,468	9,996
Total operating expenses	1,156,390	1,114,963
Income (loss) from operations	(35,663)	5,254
Other income:		
Exit fees	1,026	10,189
Interest	7,906	17,121
Miscellaneous – late charge and other	4,076	3,284
Total other income	13,008	30,594
Income (loss) before depreciation and income taxes	(22,655)	35,848
Depreciation	267,341	264,652
Provision for income taxes	5,407	8,638
Net income (loss)	($295,403)	($237,442)

See accompanying notes to financial statements.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 1992 and 1991

	1992	1991
Cash flows from operating activities:		
Net income (loss)	($295,403)	($237,442)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	266,263	263,574
Amortization of mortgage acquisition costs	1,078	1,078
Change in assets and liabilities which affect net income:		
Change in accounts receivable	4809	6991
Change in prepaid expenses	5	1,465
Change in prepaid real estate taxes	(76,817)	416
Change in accounts payable and accrued expenses	(16,804)	(69,557)
Total adjustments	178,534	203,967
Net cash provided by (used for) operating activities	(116,869)	(33,475)
Cash flows from investing activities:		
Change in mortgage acuisition costs	5,800	5,800
Payment for purchase of equipment	(8,192)	(55,804)
Net cash provided by (used for) investing activities	(2,392)	(50,004)
Increase (decrease) in cash and cash equivalents	(119,261)	(83,479)
Cash and cash equivalents – beginning of year	300,048	383,527
Cash and cash equivalents – end of year	$180,787	$300,048
Supplemental information:		
Interest Expense	$433,000	$433,000
Income taxes	5,407	8,638

The accompanying notes should be read
with this financial statement

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 1992

	Common Stock	Paid-in-Capital	Retained Earnings
Balance – January 1, 1991	$85,027	$6,846,550	($1,279,638)
Net loss (1991)	–	–	(237,442)
Balance – December 31, 1991	85,027	6,846,550	(1,517,080)
Net loss (1992)	–	–	(295,403)
Balance – December 31, 1992	$85,027	$6,846,550	($1,812,483)

See notes to financial statements

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 1992
Compiled

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of exiting assets are capitalized and maintenance and repairs are expensed as incurred.

Note 3: LONG-TERM DEBT:

The Cooperative Corporation has a mortgage with Meritor Mortgage Corporation. The mortgage requires monthly payments of $35,600, interest only at 10.68% per annum. At January 1, 1998, the maturity date, the full principal of $4,000,000 is to be paid.

Note 4: FUTURE MAJOR REPAIRS AND REPLACEMENTS:

Riveredge Owners, Inc. has not conducted a study to determine the remaining useful lives of the building and improvement thereon and current estimated costs of major repairs and replacements that may be required in the future. The board has also not developed a plan to fund those needs. When replacements funds are needed to meet future needs for major repairs and replacements, the Corporation has the right to increase regular assessments, pass special assessments, or delay major repairs and replacements until funds are available. Additionally, contributions may be made to the replacement reserve during the year, but not on a specific preset basis. The effect on future assessments has not been determined at this time.

Note 5: INCOME TAXES:

Represents the Federal income tax on interest income under Internal Revenue Service Code Section 216 and the New York State franchise tax on capital.

NOTE 6: COMMITMENTS: The Cooperative Corporation has entered into various service contract agreements as of December 31, 1992:

Boiler maintenance	A contract was entered into for 1993 in the amount of $2,360.
Elevator maintenance	1993: $455 per month
Garage Door Opener	$96 per month
Superintendent and Porters	Per union agreement, dated September 15, 1992, the current salary is $500 per week for the Superintendent and $468 per week for the Porters.
Towing	$108 per month
Landscaping	1992: $430 per month for April-November
Management	The managing agent is William B. May Company, Inc. There is no contract as of the audit. The management agent is being paid on a month to month basis, at $2,250 per month.

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 1994 and 1993

JEFFREY GITTLESON, C.P.A., P.C.
CERTIFIED PUBLIC ACCOUNTANTS

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JEFFREY GITTLESON, C.P.A., P.C.
CERTIFIED PUBLIC ACCOUNTANTS
1234 WEST BROADWAY
HEWLETT, N.Y. 11557
516 295-1525

The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

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We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

Riveredge Owners, Inc. has not estimated the remaining lives and replacement costs of the building and improvements necessary and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 1994 and 1993 and the results of its operations and its cash flows for the years then ended in conformity with generally accepted accounting principles.

Jeff Gittleson CPA PC

Hewlett, New York
January 24, 1995

RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 1994 and 1993

	1994	1993
ASSETS		
Cash:		
operating	$41,271	($33,188)
money market	47,411	21,789
mutual funds	120,479	188,901
Accounts receivable	21,481	19,141
Prepaid expenses	7,609	498
Mortgage acquisition costs, net	52,825	59,703
Prepaid real estate taxes	36,166	114,195
Total current assets	327,242	371,039
Land	200,000	200,000
Building and building improvements	11,260,068	11,232,672
	11,460,068	11,432,672
Less:accumulated depreciation	3,042,196	2,769,430
Net fixed assets	8,417,872	8,663,242
Total assets	$8,745,114	$9,034,281
LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Accounts payable and accrued expenses	$20,429	$27,792
Mortgage payable	4,000,000	4,000,000
Commitments and contingencies	–	–
Total liabilities	4,020,429	4,027,792
Stockholders' equity:		
Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
Additional paid in capital	6,846,550	6,846,550
Retained earnings (deficit)	(2,206,892)	(1,925,088)
Total stockholders' equity	4,724,685	5,006,489
Total liabilities and stockholders' equity	$8,745,114	$9,034,281

See accompanying auditor's report and notes to financial statements.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 1994 and 1993

	1994	1993
Operating income:		
Maintenance charges	$1,048,884	$1,027,976
Special Assessment	–	170,050
Parking income	83,792	83,638
Laundry income	15,600	15,550
	1,148,276	1,297,214
Operating expenses:		
Mortgage interest	433,000	433,000
Real estate taxes	302,044	295,757
Heating fuel	46,581	42,259
Utilities (gas, electric, and telephone)	44,424	50,116
Contractual services		
Security	32,978	35,336
Boiler maintenance	928	13,826
Landscaping	5,275	4,782
Other	23,146	13,582
Supplies	17,693	15,916
Operating repairs and maintenance	55,345	41,906
Pool supplies	7,516	3,765
Payroll and benefits	137,797	133,297
Management fees	30,000	27,000
General administrative costs	7,083	8,261
Professional fees	5,905	7,994
Insurance	23,100	22,324
Miscellaneous	250	261
Water and sewer	8,995	8,586
Total operating expenses	1,182,060	1,157,968
Income (loss) from operations	(33,784)	139,246
Other income:		
Exit fees	11,231	6,276
Interest	7,200	6,225
Miscellaneous – late charge and other	9,582	8,433
Total other income	28,013	20,934
Income (loss) before depreciation and income taxes	(5,771)	160,180
Depreciation	273,844	267,415
Provision for income taxes	2,189	5,370
Net income (loss)	($281,804)	($112,605)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 1994 and 1993

	1994	1993
Cash flows from operating activities:		
Net income (loss)	($281,804)	($112,605)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	272,766	266,337
Amortization of mortgage acquisition costs	1,078	1,078
Change in assets and liabilities which affect net income:		
Change in accounts receivable	(2,340)	(13,015)
Change in prepaid expenses	(7,111)	4,373
Change in prepaid real estate taxes	78,029	(3,722)
Change in accounts payable and accrued expenses	(7,363)	9,586
Total adjustments	335,059	264,637
Net cash provided by (used for) operating activities	53,255	152,032
Cash flows from investing activities:		
Change in mortgage acquisition costs	5,800	5,800
Payment for hallway renovations	(3,220)	(112,600)
Payment for capital improvements	(24,176)	(12,917)
Net cash provided by (used for) investing activities	(21,596)	(119,717)
Increase (decrease) in cash and cash equivalents	31,659	32,315
Cash and cash equivalents – beginning of year	177,502	170,665
Cash and cash equivalents – end of year	$209,161	$177,502
Supplemental information:		
Interest Expense	$433,000	$433,000
Income taxes	2,189	5,370

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 1994

	Common Stock	Paid-in-Capital	Retained Earnings
Balance – January 1, 1993	$85,027	$6,846,550	($1,812,483)
Net loss (1993)	–	–	(112,605)
Balance – December 31, 1993	85,027	6,846,550	(1,925,088)
Net loss (1994)	–	–	(281,804)
Balance – December 31, 1994	$85,027	$6,846,550	($2,206,892)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 1994

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of existing assets are capitalized and maintenance and repairs are expensed as incurred.

Note 3: LONG-TERM DEBT:

The Cooperative Corporation has a mortgage with Mellon Mortgage Corporation. The mortgage requires monthly payments of $35,600, interest only at 10.68% per annum. At January 1, 1998, the maturity date, the full principal of $4,000,000 is to be paid.

Note 4: INCOME TAXES:

Represents the Federal income tax on interest income under Internal Revenue Service Code Section 216 and the New York State franchise tax on capital.

Included in 1994 provision is a tax refund of $4,690 relating to 1990.

Note 5: COMMITMENTS:

The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$2,576 per year
Elevator maintenance	$455 per month
Garage Door Opener	$96 per month
Superintendent and Porters	Per union agreement, $545 per week for Superintendent and $506 per week for each of two porters per union agreement dated September 15, 1993.
Towing	$108 per month.
Landscaping	1994: $433 per month for April-November
Management	The managing agent is Hudson River Property Management. The management fee is $30,000 per year.
Exterminator	$125 per month

Note 6: SPECIAL ASSESSMENT:

Riveredge Owners Inc imposed a special assessment of $2 per share, for a total assessment of $170,000 in 1993. These funds were designated to be used for hallway renovations during 1993 and 1994. The work performed, and payments made or accrued relating to these renovations, amounted to about $3,220 and $112,600 in December 31, 1994 and 1993 respectively. Such amounts are included on the balance sheet as "building and building improvements."

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 1996 and 1995

Gittleson & Herman
LLP CERTIFIED PUBLIC ACCOUNTANTS

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Gittleson & Herman
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The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 1996 and 1995 and the related statements of operations for the years then ended, and the related statements of cash flow for the years ended December 31, 1996 and 1995. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

Riveredge Owners, Inc. has not estimated the remaining lives and replacement costs of the building and improvements necessary and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 1996 and 1995 and the results of its operations and its cash flows for the years then ended in conformity with generally accepted accounting principles.

Gittleson + Herman LLP

Hewlett, New York
February 18, 1997

RIVERIDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 1996 and 1995

	1996	1995
ASSETS		
Cash:		
operating	($7,054)	$68,597
money market	175,931	84,102
Investments, at cost which approximates market value	136,885	135,826
Accounts receivable	30,813	23,773
Federal income tax receivable (Note 4)	2,558	–
Prepaid expenses	9,478	8,129
Mortgage acquisition costs, net	39,069	45,947
Prepaid real estate taxes	91,504	29,548
Total current assets	481,184	394,922
Land	200,000	200,000
Building and building improvements	11,263,553	11,260,070
	11,463,553	11,460,070
Less:accumulated depreciation	3,590,256	3,316,226
Net fixed assets	7,873,297	8,143,844
Total assets	$8,354,481	$8,538,766

LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Accounts payable and accrued expenses	$28,476	$23,145
Mortgage payable (Note 3)	4,000,000	4,000,000
Commitments and contingencies	–	–
Total liabilities	4,028,476	4,023,145
Stockholders' equity:		
Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
Additional paid in capital	6,846,550	6,846,550
Retained earnings (deficit)	(2,605,572)	(2,415,956)
Total stockholders' equity	4,326,005	4,515,621
Total liabilities and stockholders' equity	$8,354,481	$8,538,766

See accompanying auditor's report and notes to financial statements.

Gittleson & Herman
LLP CERTIFIED PUBLIC ACCOUNTANTS

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 1996 and 1995

	1996	1995
Operating income:		
Maintenance charges	$1,074,031	$1,066,534
Parking income	82,684	82,754
Laundry income	15,600	15,600
	1,172,315	1,164,888
Operating expenses:		
Mortgage interest	433,000	433,000
Real estate taxes	241,053	267,846
Heating fuel	60,137	43,457
Utilities (gas, electric, and telephone)	46,362	45,494
Contractual services		
Security	34,296	34,155
Boiler maintenance	5,130	3,659
Landscaping	5,273	4,395
Other	13,071	10,586
Supplies	7,851	9,307
Operating repairs and maintenance	36,345	48,369
Pool supplies	11,802	7,016
Payroll and benefits	130,715	127,715
Management fees	30,000	30,000
General administrative costs	11,312	9,903
Professional fees	9,445	7,106
Insurance	26,181	26,217
Miscellaneous	—	431
Water and sewer	14,000	17,993
Total operating expenses	1,115,973	1,126,649
Income (loss) from operations	56,342	38,239
Other income:		
Exit fees	8,481	11,798
Interest	14,977	7,029
Miscellaneous – late charges and other	9,882	15,376
Total other income	33,340	34,203
Income (loss) before depreciation and income taxes	89,682	72,442
Depreciation	275,108	275,108
Provision for income taxes	4,190	6,398
Net income (loss)	($189,616)	($209,064)

See accompanying auditor's report and notes to financial statements

Gittleson & Herman
LLP CERTIFIED PUBLIC ACCOUNTANTS

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 1996 and 1995

	1996	1995
Cash flows from operating activities:		
Net income (loss)	($189,616)	($209,064)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	280,908	280,908
Change in assets and liabilities which affect net income:		
Change in accounts receivable	(9,598)	(2,292)
Change in prepaid expenses	(1,349)	(520)
Change in prepaid real estate taxes	(62,956)	7,618
Change in accounts payable and accrued expenses	5,331	2,716
Total adjustments	212,336	288,430
Net cash provided by (used for) operating activities	22,720	79,366
Cash flows from investing activities:		
Payment for hallway renovations	–	–
Payment for capital improvements	(3,483)	–
Net cash provided by (used for) investing activities	(3,483)	0
Increase (decrease) in cash and cash equivalents	19,237	79,366
Cash and cash equivalents – beginning of year	288,525	209,161
Cash and cash equivalents – end of year	$307,762	$288,525
Supplemental information:		
Interest Expense	$433,000	$433,000
Income taxes	$4,190	$6,398

See accompanying auditor's report and notes to financial statements.

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 1996

	Common Stock	Paid-in-Capital	Retained Earnings
Balance – January 1, 1995	$85,027	$6,846,550	($2,206,892)
Net loss (1995)	–	–	(209,064)
Balance – December 31, 1995	85,027	6,846,550	(2,415,956)
Net loss (1996)	–	–	(189,616)
Balance – December 31, 1996	$85,027	$6,846,550	($2,605,572)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 1996

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of existing assets are capitalized and maintenance and repairs are expensed as incurred.

Note 3: LONG-TERM DEBT:

The Cooperative Corporation has a mortgage with Mellon Mortgage Corporation. The mortgage requires monthly payments of $35,600, interest only at 10.68% per annum. At January 1, 1998, the maturity date, the full principal of $4,000,000 is to be paid.

Note 4: INCOME TAXES:

Included in 1995 is the federal income tax on non-exempt income under Section 277 of the Internal Revenue Service. Due to IRS rulings in 1996 (Thwaites Terrace House Owners Corp. v. the Commissioner of Internal Revenue), Section 277 does not apply to the Corporation. As such the provision for 1996 is not calculated based on Section 277. The Corporation has amended its Federal tax returns for 1993, 1994, and 1995. Included in the provision for 1996 is $2,558 of refunds expected form the amended returns.

Note 5: COMMITMENTS:

The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$3,659 per year
Elevator maintenance	$478 per month
Garage Door Opener	$96 per month
Superintendent and Porters	Per union agreement, $595 per week for Superintendent and $542 per week for each of two porters per union agreement dated September 15, 1995.
Towing	$108 per month.
Landscaping	1996: $487 per month for April-November
Management	The managing agent is Hudson River Property Management. The management fee is $30,000 per year.
Exterminator	$135 per month

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 1997 and 1996

Gittleson & Herman
LLP CERTIFIED PUBLIC ACCOUNTANTS

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The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 1997 and 1996 and the related statements of operations for the years then ended, and the related statements of cash flow for the years ended December 31, 1997 and 1996. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

Riveredge Owners, Inc. has not estimated the remaining lives and replacement costs of the building and improvements necessary and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 1997 and 1996 and the results of its operations and its cash flows for the years then ended in conformity with generally accepted accounting principles.

Gittleson & Herman LLP

Woodmere, New York
February 3, 1998

RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 1997 and 1996

	1997	1996
ASSETS		
Cash:		
operating	$15,652	($7,054)
money market	309,133	175,931
Investments, at cost which approximates market value	13,172	138,885
Accounts receivable	37,082	30,813
Federal income tax receivable (Note 4)	–	2,558
Insurance receivable	1671	–
Prepaid expenses	7,164	9,478
Escrow accounts	78208	–
Mortgage acquisition costs, net	199,635	39,069
Prepaid real estate taxes	91,523	91,504
Total current assets	753,240	481,184
Land	200,000	200,000
Building and building improvements	11,282,152	11,263,553
	11,482,152	11,463,553
Less:accumulated depreciation	3,863,833	3,590,256
Net fixed assets	7,618,319	7,873,297
Total assets	$8,371,559	$8,354,481
LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Accounts payable and accrued expenses	$30,470	$28,476
Mortgage payable (Note 3)	4,200,000	4,000,000
Commitments and contingencies	–	–
Total liabilities	4,230,470	4,028,476
Stockholders' equity:		
Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
Additional paid in capital	6,846,550	6,846,550
Retained earnings (deficit)	(2,790,488)	(2,605,572)
Total stockholders' equity	4,141,089	4,326,005
Total liabilities and stockholders' equity	$8,371,559	$8,354,481

See accompanying auditor's report and notes to financial statements.

Gittleson & Herman
LLP CERTIFIED PUBLIC ACCOUNTANTS

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 1997 and 1996

	1997	1996
Operating income:		
Maintenance charges	$1,073,289	$1,074,031
Parking income	80,162	82,684
Laundry income	15,600	15,600
	1,169,051	1,172,315
Operating expenses:		
Mortgage interest	426,831	433,000
Real estate taxes (Note 6)	135,681	241,053
Heating fuel	50,178	60,137
Utilities (gas, electric, and telephone)	42,075	46,362
Contractual services		
Security	36,149	34,296
Boiler maintenance	6,751	5,130
Landscaping	8,069	5,273
Other	10,470	13,071
Supplies	6,886	7,851
Operating repairs and maintenance	34,260	36,345
Pool supplies	6,780	11,802
Payroll and benefits	137,073	130,715
Management fees	30,750	30,000
General administrative costs	8,567	11,312
Professional fees (Note 6)	94,442	9,445
Insurance	26,264	26,181
Miscellaneous	14,475	–
Water and sewer	5,038	14,000
Total operating expenses	1,080,739	1,115,973
Income (loss) from operations	88,312	56,342
Other income:		
Exit fees	11,693	8,481
Interest	14,038	14,977
Miscellaneous – late charges and other	12,994	9,882
Total other income	38,725	33,340
Income (loss) before depreciation and income taxes	127,037	89,682
Depreciation	306,446	275,108
Provision for income taxes	5,506	4,190
Net income (loss)	($184,915)	($189,616)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 1997 and 1996

	1997	1996
Cash flows from operating activities:		
Net income (loss)	($184,915)	($189,616)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization	312,646	280,908
Change in assets and liabilities which affect net income:		
Change in accounts receivable	(5,382)	(9,598)
Change in prepaid expenses	2,314	(1,349)
Change in escrow accounts	(78,208)	–
Change in prepaid real estate taxes	(19)	(62,956)
Change in accounts payable and accrued expenses	1,994	5,331
Total adjustments	233,345	212,336
Net cash provided by (used for) operating activities	48,430	22,720
Cash flows from investing activities:		
Payment for hallway renovations	–	–
Payment for capital improvements	(18,599)	(3,483)
Net cash provided by (used for) investing activities	(18,599)	(3,483)
Increase (decrease) in cash and cash equivalents	29,831	19,237
Cash and cash equivalents – beginning of year	307,762	288,525
Cash and cash equivalents – end of year	$337,957	$307,762
Supplemental information:		
Interest Expense	$426,831	$433,000
Income taxes	$5,506	$4,190

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 1997

	Common Stock	Paid-in-Capital	Retained Earnings
Balance – January 1, 1996	$85,027	$6,846,550	($2,415,957)
Net loss (1996)	–	–	(189,616)
Balance – December 31, 1996	85,027	6,846,550	(2,605,573)
Net loss (1997)	–	–	(184,915)
Balance – December 31, 1997	$85,027	$6,846,550	($2,790,488)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 1997

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of existing assets are capitalized and maintenance and repairs are expensed as incurred.

Note 3: LONG-TERM DEBT:

The Cooperative Corporation has refinanced a mortgage with Mellon Mortgage Corporation in 1997.

Mortgage payable Mellon Mortgage, @ 7.33% interest per annum, payable in monthly installments of $30,575 interest and principal, maturing January 1, 2013.	$4,200,000
current portion	55,800
Long-term debt	$4,144,200

Annual maturities for each of the next five years: 1998-$55,800; 1999-$65,291; 2000-$70,241; 2001-$75,566; 2002-$81,295.

Note 4: INCOME TAXES:

Due to IRS rulings in 1996 (Thwaites Terrace House Owners Corp. v. the Commissioner of Internal Revenue), and industry trends, the Board of Directors believes that Section 277 does not apply to the Corporation. As such the provision for 1997 and 1996 is not calculated based on Section 277.

Note 5: COMMITMENTS:

The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$2,760 per year
Elevator maintenance	$478 per month
Garage Door Opener	$96 per month
Superintendent and Porters	Per union agreement, $595 per week for Superintendent and $542 per week for each of two porters per union agreement dated September 15, 1997.
Towing	$ 75 per month.
Landscaping	1997: $487 per month for April-November
Management	The managing agent is Hudson River Property Management. The management fee is $31,000 per year.
Exterminator	$135 per month

Note 6: REAL ESTATE TAXES - PROFESSIONAL FEES:

Real estate tax expense is reduced by tax certiorari refunds of $113,939. Included in professional fees is legal fees of $81,881 related to the tax certiorari.

RIVEREDGE OWNERS, INC.

FINANCIAL STATEMENTS

December 31, 1999 and 1998

J. GITTLESON CPA PC
CERTIFIED PUBLIC ACCOUNTANTS

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The Board of Directors
Riveredge Owners, Inc.
Yonkers, NY

We have audited the accompanying balance sheets of Riveredge Owners, Inc. as of December 31, 1999 and 1998 and the related statements of operations for the years then ended, and the related statements of cash flow for the years ended December 31, 1999 and 1998. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audit in accordance with generally accepted auditing standards. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

Riveredge Owners, Inc. has not estimated the remaining lives and replacement costs of the building and improvements necessary and therefore, has not presented the estimates of future costs of major repairs and replacements that will be required in the future that the American Institute of Certified Public Accountants has determined is required to supplement, although not required to be a part of, the basic financial statements.

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of Riveredge Owners, Inc. as of December 31, 1999 and 1998 and the results of its operations and its cash flows for the years then ended in conformity with generally accepted accounting principles.

J Gittleson CPA PC

Woodmere, New York
March 1, 2000

RIVEREDGE OWNERS, INC.
COMPARATIVE BALANCE SHEETS
December 31, 1999 and 1998

	1999	1998
ASSETS		
Cash:		
operating	$8,357	($31,466)
restricted cash	2,118	-
money market	621,389	598,099
Accounts receivable	4,238	14,623
Prepaid insurance	1,856	12,160
Escrow accounts	17	60,060
Mortgage acquisition costs, net	66,832	74,158
Prepaid real estate taxes	80,944	89,486
Total current assets	785,751	817,120
Land	200,000	200,000
Building and building improvements	11,638,047	11,552,990
	11,838,047	11,752,990
Less:accumulated depreciation	4,422,262	4,140,649
Net fixed assets	7,415,785	7,612,341
Total assets	$8,201,536	$8,429,461

LIABILITIES AND STOCKHOLDERS' EQUITY		
Liabilities:		
Accounts payable and accrued expenses	$38,341	$129,942
Deposits	2,118	-
Mortgage payable (Note 3)	4,078,909	4,144,042
Commitments and contingencies	-	-
Total liabilities	4,119,368	4,273,984
Stockholders' equity:		
Common stock (90,000 shares authorized; 85,027 shares issued and outstanding)	85,027	85,027
Additional paid in capital	6,902,464	6,902,464
Retained earnings (deficit)	(2,905,323)	(2,832,014)
Total stockholders' equity	4,082,168	4,155,477
Total liabilities and stockholders' equity	$8,201,536	$8,429,461

See accompanying auditor's report and notes to financial statements.

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF OPERATIONS
December 31, 1999 and 1998

	1999	1998
Operating income:		
Maintenance charges	$1,042,612	$1,073,379
Parking income	77,113	78,700
Laundry income	14,300	15,600
	1,134,025	1,167,679
Operating expenses:		
Mortgage interest	301,364	305,677
Real estate taxes	235,110	252,250
Heating fuel	38,440	35,895
Utilities (gas, electric, and telephone)	51,137	45,344
Contractual services		
Security	35,989	38,515
Boiler maintenance	14,411	6,277
Landscaping	6,224	7,732
Other	10,265	11,596
Supplies	9,632	7,791
Operating repairs and maintenance	38,762	22,114
Pool supplies	4,328	7,221
Payroll and benefits	141,939	143,621
Management fees	31,000	31,000
General administrative costs	10,183	9,126
Professional fees (Note 6)	6,243	10,713
Insurance	34,158	29,617
Miscellaneous	1,260	1,169
Water and sewer	9,055	4,627
Total operating expenses	979,500	970,285
Income from operations	154,525	197,394
Other income:		
Exit fees	20,941	15,735
Interest	26,646	24,687
Easement	12,000	-
Miscellaneous - late charges and other	8,226	11,548
Total other income	67,813	51,970
Income before depreciation and income taxes	222,338	249,364
Depreciation and amortization	288,939	284,501
Provision for income taxes	6,708	6,389
Net income (loss)	($73,309)	($41,526)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
COMPARATIVE STATEMENTS OF CASH FLOW
For the years ended December 31, 1999 and 1998

	1999	1998
Cash flows from operating activities:		
Net income (loss)	($73,309)	($41,526)
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation	281,613	276,508
Change in assets and liabilities which affect net income:		
Change in accounts receivable	10,385	24,130
Change in prepaid expenses	10,304	(4,996)
Change in escrow accounts	60,043	18,148
Change in prepaid real estate taxes	8,542	2,037
Chagne in mortgage acquisition costs, net	7,326	125,785
Change in accounts payable and accrued expenses	(89,483)	99,472
Total adjustments	288,730	541,084
Net cash provided by (used for) operating activities	215,421	499,558
Cash flows from investing activities:		
Payment for capital improvements	(85,057)	(270,838)
Sale of unit 8F	-	55,914
Net cash provided by (used for) investing activities	(85,057)	(214,924)
Cash flow from financing activities:		
Payment of long-term debt	(65,133)	(55,958)
Net cash provided (used for) financing activities	(65,133)	(55,958)
Increase (decrease) in cash and cash equivalents	65,231	228,676
Cash and cash equivalents - beginning of year	566,633	337,957
Cash and cash equivalents - end of year	$631,864	$566,633
Supplemental information:		
Interest expense	$301,364	$305,677
Income taxes	$6,708	$6,389

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
STATEMENT OF CHANGES IN STOCKHOLDERS' EQUITY
December 31, 1999

	Common Stock	Paid-in-Capital	Retained Earnings (Deficit)
Balance - January 1, 1998	$85,027	$6,846,550	($2,790,488)
Sale of unit 8F	-	55,914	
Net loss (1998)	-	-	(41,526)
Balance - December 31, 1998	85,027	6,902,464	(2,832,014)
Net loss (1999)	-	-	(73,309)
Balance - December 31, 1999	$85,027	$6,902,464	($2,905,323)

See accompanying auditor's report and notes to financial statements

RIVEREDGE OWNERS, INC.
NOTES TO FINANCIAL STATEMENTS
December 31, 1999

Note 1: ORGANIZATION:

The Corporation, Riveredge Owners, Inc. (the "cooperative corporation") was formed June 17, 1980 to qualify as a cooperative housing corporation as defined under Section 216 of the Internal Revenue Code and the corresponding provision of New York State. The Corporation commenced operations on April 5, 1982 when it acquired the land and building at 1-3 David Lane, Yonkers, New York for $10,134,597. The purchase price of the real property was allocated between land and building based on their respective assessed valuations for real estate taxes as of April 5, 1982.

Note 2: SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Depreciation: Depreciation of the building is being provided on a straight-line basis over an estimated useful life of forty-five years from April 5, 1982. The truck is being depreciated on an accelerated basis over five years. Improvements are being depreciated over a period ranging from 10 years to 31 years using the straight line basis. Major renewals and betterments which substantially increase the useful lives of existing assets are capitalized and maintenance and repairs are expensed as incurred.

Use of estimates: The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and disclosure of contingent assets and liabilities. The estimates and assumptions used in the accompanying financial statements are based on managements's evaluation of the relevant facts and circumstances as of the date of the financial statements. Actual results may differ from those estimates.

Note 3: LONG-TERM DEBT:

Mortgage payable GMAC Mortgage, @ 7.33% interest per annum, payable in monthly installments of $30,575 interest and principal, maturing January 1, 2013.	$4,078,909
current portion	70,241
Long-term debt	$4,008,668

Annual maturities for each of the next five years: 2000-$70,241; 2001-$75,566; 2002-$81,295; 2003-$87,458; 2004-$94,089.

Note 4: INCOME TAXES:

Due to IRS rulings in 1996 (Thwaites Terrace House Owners Corp. v. the Commissioner of Internal Revenue), recent IRS rulings, and industry trends, the Board of Directors believes that Section 277 does not apply to the Corporation. As such the provision for 1999 and 1998 is not calculated based on Section 277.

The Corporation has approximately $2.965 million of net operating losses available for 1999.

Note 5: COMMITMENTS:

1. The Cooperative Corporation has entered into various service contract agreements:

Boiler maintenance	$2,760 per year
Elevator maintenance	$433 per month
Garage Door Opener	$96 per month
Superintendent and Porters	Per union agreement, $610 per week for Superintendent and $557 per week for each of two porters per union agreement dated September 15, 1999.
Towing	$ 75 per month.
Landscaping	1999: $476 per month for April-November
Management	The managing agent is Hudson River Property Management. The management fee is $31,000 per year.

In 1998 the Corporation entered into the following contracts which were not completed by December 31, 1999, and are billed and accrued on a percentage of completion method:

2. Elevator contract with Start Elevator:
Total contract price is $113,500. In 1998, a deposit of $17,025 was paid. In 1999 an additional $34,050 was paid. At December 31, 1999, there remains a balance of $62,425 owing on the contract.